

Table 64.2 General Statistics

Description	Up Breakout	Down Breakout
Number found	899	531
Reversal (R), continuation (C) occurrence	40% R, 60% C	61% R, 39% C
Reversal, continuation performance	43% R, 43% C	-11% R, -15% C
Average rise or decline	43%	-13%
Standard & Poor's 500 change	12%	-2%
Days to ultimate high or low	229	50
How many change trend?	51%	23%

Standard & Poor's 500 change. Compare the market numbers with the average rise or decline. When the market is bullish, it helps upward breakouts rise. Downward breakouts see a falling general market help price drop.

Days to ultimate high or low. Upward breakouts take substantially longer to reach the ultimate high than downward breakouts take to reach the ultimate low. Let's check the velocity of the two breakout directions: The drop is 40% faster than the rise.

How many change trend? This is a count of how many patterns see price move more than 20%. When compared to other chart patterns, both up and down breakout numbers are below average. I think that's a warning of underperformance.

Table 64.3 shows failure rates for ascending triangles. Downward breakouts have higher failure rates than upward breakouts. Read the table as follows: 17% of ascending triangles with upward breakouts in bull markets fail to see price climb more than 5% after the breakout. About half (49%) fail to rise more than 20%.

Downward breakouts are far worse performers. More than half (55%) of the triangles will fail to see price drop more than 10%. I would not consider shorting a stock showing an ascending triangle with a downward breakout unless the situation was compelling (like someone held a gun to my head).